

Statement of Advice

Financial Planning Strategy

Prepared for:

Albert Runci and Sue Johnston
3 Matthew Street
Carnegie VIC 3163

Prepared on:

24 November 2025

Prepared by:

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What this document is about

This Statement of Advice is an important guide to the financial advice provided to you. It:

- Explains the advice we are giving and the reasons behind it, so you can make an informed decision about implementing it.
- Should be read alongside other key documents, including Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

We encourage you to get in touch with us:

- If you have any questions or need clarification about the advice.
- If any information about your personal or financial situation has been overlooked, omitted, or misunderstood.
- When you're ready to implement the recommendations.
- Or, if you decide to take a different course of action and would like our guidance or support.

24 November 2025

Albert Runci and Sue Johnston

3 Matthew Street
Carnegie VIC 3163

Dear Albert and Sue,

I am pleased to provide you with your **Statement of Advice (SoA)**.

This document is an important guide and should be read carefully before you decide how to proceed. The strategies and recommendations within are based on our current understanding of your personal and financial situation. If any information is incomplete or does not accurately reflect your goals and circumstances, please let us know immediately so we can make the necessary updates.

The SoA outlines our recommended strategies to address your needs, along with a clear plan for implementing them. When you are ready to proceed, we will guide you through each step of implementation, including completing and submitting any forms or documents required.

Please note that our recommendations are **valid for 30 days** from the date on the cover of this document. If your circumstances change before implementation, or if you do not act within 30 days, the advice may no longer be suitable. In that case, please contact us so we can review your situation and update our recommendations.

Once implemented, it's important to review your financial plan regularly. This ensures that any changes in your life, goals, or the broader environment are reflected in your strategies, helping you stay on track to achieve your objectives.

We look forward to supporting you every step of the way.

Yours sincerely,

Andrew Lord

Wellth Pty Ltd

AFS Authorised Representative Number [324798]

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1. About this SOA

SOA Overview

This **SoA** outlines the financial plan discussed with your Wellth Pty Ltd adviser. It details the strategies and recommendations designed to help you achieve your financial goals.

Timeframe for Our Advice

Our recommendations in this SoA are **valid for 30 days** from the date on the cover of this document. If your circumstances change before you act on these recommendations, or if you do not implement them within 30 days, the advice may no longer be suitable. In that case, please contact us so we can review and update your plan before you take any action.

Check for Accuracy

This advice is based on the information you have provided. Please read the document carefully to ensure all details are accurate and complete. If any information is incorrect, missing, or has changed, let us know immediately otherwise, the advice may no longer be appropriate for your situation.

Limitations of Our Advice

This SoA does **not cover advice in the following areas**:

- Trust or business structures
- Direct share or property purchases
- Taxation matters
- Legal matters
- General insurance

You should seek advice from a qualified professional in these areas if needed. Recommendations in this document should not be taken as advice in these fields.

Assumptions We've Made

Our advice is based on a set of assumptions to demonstrate how the recommendations could affect your financial situation. These include:

- Economic and legislative information current at the time of preparation
- All monetary figures are expressed in **today's dollars**, even when referring to future income, expenses, or investment amounts
- Amounts are **per annum (p.a.)** unless stated otherwise
- Future inflation, market returns, and other financial variables are assumed based on historical trends; actual results may differ

Product Selection

We are committed to recommending products that are appropriate for your situation. All product recommendations in this SoA are drawn from Wellth Pty Ltd's Approved Product List (APL), which is reviewed regularly by a dedicated Investment Committee.

If you would like to see the full list of approved products, please ask your adviser.

2. Introduction

You are entitled to receive a **SoA** whenever we provide personal financial advice. Personal financial advice considers your objectives, financial situation, and needs.

This SoA is a record of the advice we have provided and includes:

- The basis on which the advice is given;
- Information about remuneration, including fees and any other benefits; and
- Any interests, relationships, or associations that could influence the advice.

If the advice includes a recommendation to acquire a financial product (other than securities) or an offer to issue or arrange a financial product, we will also provide a Product Disclosure Statement (PDS) for that product to help you make an informed decision.

Scope of Our Advice

The focus of this advice is on:

- Investment Advice
- Structure of Investment Assets
- Superannuation Advice
- Superannuation Contribution Strategies

This advice is based on the information you have provided. It is important that this information is accurate and complete, as advice based on incorrect or incomplete information may not meet your objectives, financial situation, or needs.

Our advice is provided within the limits of the law and the areas in which we are authorised to provide advice.

Investment Recommendations

For investments recommended as part of this advice, you are generally entitled to a 14-day cooling-off period. This allows you to change your mind and request a return of your capital after making your initial investment.

Each fund or investment provider may implement the cooling-off period differently. We recommend you refer to the PDS for each product to understand how the cooling-off period operates for that investment.

Your Adviser

If you have questions or concerns, please contact your adviser:

Andrew Lord

Mob: 0447 556 011

Email: andrew.lord@lakesidefinancial.com.au

AFS Authorised Representative number 324798

If you wish to discuss any concerns about your adviser or the advice received, please contact us directly on 1800 870 860.

The Planning Process

Financial planning is a process designed to help you achieve your personal and financial goals. To do this, we work with you to:

1. Confirm your personal goals and lifestyle objectives
2. Quantify the resources needed to achieve those goals
3. Identify gaps between your current plans and objectives
4. Develop strategies to address any gaps, taking into account your risk profile and investment preferences
5. Conduct regular reviews to ensure your plan remains relevant in light of your changing circumstances, legislation, and the investment environment

3. Summary of our Advice

In this SOA, our advice considers the key areas of your financial circumstances that are relevant to achieving your goals and objectives.

Your Goals and Objectives

Based on our discussions, we have summarised your key goals and objectives below. These form the foundation of the financial advice, so please review them carefully to ensure they are accurate. If any changes or additions are needed, please let us know before we implement the recommended actions.

- You have recently sold your Carnegie residential property and purchased a property at Brighton on Bay.
- Settlement on both properties is scheduled for 26th November 2025, and you anticipate you will have surplus sale proceeds of around \$284,000 after settlement.
- Your primary concern is the impact these surplus funds will have on your Age Pension eligibility.

Your goals and objectives are to:

- Structure your assets in a manner which enables you to maximise your Age Pension entitlements.
- Generate annual cash flow of \$60,000.
- Retain approximately \$60,000 of the \$284,000 surplus funds for the purchase of a car and other expenses.
- Preserve your existing capital.

Recommendation Overview

Considering your goals, objectives, investor risk profile, and age, we recommend the following strategies:

- Of the \$284,00 surplus funds:
 - Retain \$60,000 for your car purchase and other expenses
 - Sue, invest \$145,000 into a Challenger Lifetime Annuity (Liquid Lifetime)
 - Albert, make a Downsizer superannuation contribution of \$79,000
- Convert your respect superannuation accounts to Allocated Pensions.

Anticipated Outcomes

Following the implementation of the recommended strategies, we anticipate the following outcomes:

- Your Age Pension entitlements will be optimised
- Your annual cash flow requirements will be satisfied

Future Strategies

To keep your financial plan current and aligned with your goals, we recommend:

- Annual Review: We will review your investment performance, and cash flow requirements each year. We aim to meet each year to discuss any adjustments.

4. Your Personal and Financial Details

To prepare this advice, we've relied on the information you provided about your personal circumstances, financial position, goals, and preferences.

A summary of this information is outlined below:

Personal Details

	Your details	Spouse/Partner details
Title	Mr	Ms
First Name	Albert	Sue
Surname	Runci	Johnston
Gender	Male	Female
Date of Birth	5/01/1950	1/12/1958
Age Last Birthday	75	66

Financial Details

Assets:

Lifestyle Assets	Amount
Brighton on Bay residential property	\$1,076,399
	\$1,079,399

Investment Assets	Amount
Cash at bank - Sue	\$11,500
Cash at bank - Albert	\$2,500
Surplus proceeds from sale and purchase of residential property	\$284,000
Share portfolio - Sue	\$150,000
	\$448,000

Superannuation Assets	Amount
Host Plus Accumulation Fund - Sue	\$443,100
Host Plus Allocated Pension - Albert	\$12,880
	\$455,980

5. Your Investor Risk Profile

This section of your SOA helps us ensure we understand your attitude to investing. Every investment has different characteristics, and not all options suit every investor.

Based on our discussions and the composition of your current portfolio, you both have a **Balanced** investor risk profile for your investments within superannuation.

A **Balanced** investor typically:

- Places greater emphasis on capital appreciation with current income and asset preservation being a secondary concern.
- Has an investment time horizon of 5–7 years.
- Holds a portfolio generally overweight in shares and property, with smaller exposure to income bearing investments such as cash and fixed interest.

A **Balanced** investor will typically diversify their investment in the following manner:

Asset Class	Exposure
Australian Shares	27%
International shares	29%
Property	12%
Alternatives	6%
Fixed Interest	22%
Cash	4%
Total	100%

Our research shows that long-term returns are best achieved through a diversified portfolio across major asset classes, including cash, fixed interest, shares, and property. This diversification helps manage investment risks and volatility in line with your profile, while providing the potential for long-term growth.

If you feel this profile does not accurately reflect your risk tolerance, or if the recommended portfolio is too aggressive or conservative, please let us know so we can adjust our recommendations accordingly.

6. Age Pension – Assets and Income Test

The Age Pension is a regular government payment that supports eligible older Australians in retirement. Eligibility is determined by age, residency status, and means testing based on income and assets.

Age Requirement:

- The Age Pension age is 67 years or older for people born on or after 1 January 1957.
- You may apply up to 13 weeks before reaching this age.

Residency Requirement:

- Applicants must be Australian residents and have lived in Australia for at least 10 years, with at least 5 of those years being continuous residence.
- Some exceptions can apply for migrants under international agreements or for humanitarian reasons.

Income and Assets Tests:

- Both tests determine qualification for a full, part, or no pension.
- The test that results in the lower pension payment is applied.
- Income includes earnings from employment, investments, superannuation, and financial assets. Deeming rates may be used for investment income assessment.
- Asset test includes most real estate (excluding your principal home), superannuation, investments, vehicles, and personal possessions.
- There are specific cut-off points for income and assets, updated regularly, above which part-pensions are reduced or cease.
- The cut-off points for the Assets Test are summarised as follows:

Assets Test

Situation	Homeowner – Full Pension	Non-homeowner – Full Pension	Homeowner – Part Pension	Non-homeowner – Part Pension
Single	\$321,500	\$579,500	\$714,500	\$972,500
Couple (combined)	\$481,500	\$739,500	\$1,074,000	\$1,332,000

7. Surplus Funds from Property Changeover

You have recently sold your Carnegie residential property and purchased a property at Brighton on Bay.

Settlement on both properties is scheduled for 26th November 2025, and you anticipate you will have surplus sale proceeds of around \$284,000 after settlement.

You would like to retain approximately \$60,000 of the \$284,000 surplus funds for the purchase of a car and other expenses. Thus, you seek advice with respect to the most appropriate investment vehicle for the remaining \$224,000.

Recommendations:

1. Sue, invest **\$145,000** into a Challenger Guaranteed Annuity (Liquid Lifetime) issued by Challenger Life Company (Challenger) with details and features on the following pages.
2. Albert, make a Downsizer superannuation contribution of **\$79,000**.
3. Convert your respective superannuation funds to Pension Phase.

8. Recommendation – Challenger Lifetime Annuity (Liquid Lifetime)

- You wish to generate a regular tax-effective income stream to top-up income from your Age Pension and superannuation income stream using the surplus funds from your property sale.
- You wish to reduce your assessable assets and income so that you can optimise your Age Pension entitlements.

Managing your cash flow is important to ensure you have sufficient income and resources to pay your living and personal expenses.

Using a Challenger Lifetime Annuity (Liquid Lifetime) is an effective strategy to put you in a better position and provide you with regular income for life and to minimise your longevity risk as well as meet your stated goals. The rules for assessing assets and income under Centrelink mean that you may also:

- **increase** your Age Pension by approximately **\$176** per fortnight

These advantages may continue beyond the first year, but in future years, the value can vary according to changes in factors such as Centrelink deeming rates, your investment balances and future legislative change. We suggest annual reviews to help maximise the ongoing effectiveness of this strategy and ensure it continues to meet your stated goals.

Annuity Details

Sue, we recommend that you invest into a Challenger Lifetime Annuity (Liquid Lifetime) with the following details and features.

Challenger Lifetime Annuity	Details
Investor	Sue Johnston
Superannuation money	No
Investment amount	\$145,000
First year regular payment ¹	\$7,767
Frequency of payments	Monthly
Investment term	Lifetime
Product option	Flexible Income (Immediate payments)
Payment option	CPI indexation
Withdrawal period	22 years
Death benefit period ²	22 years
Fees	No investment or product fees

¹ The annuity's regular payment amount is based on a quote obtained from Challenger as at 12th November 2025, which is current for 14 days from that date. A new quote will be required if you invest after this date. A copy of the quote is attached as an appendix to this document.

² For the first 11 years the death benefit equals 100% of the amount invested.

The Challenger Lifetime Annuity (Liquid Lifetime) is recommended because it:

- provides regular payments for your life;
- can reduce your assessable assets for Centrelink purposes as just 60% of your investment amount is assessed as an asset to age 85 (or for a minimum of five years) and just 30% is assessed as an asset thereafter;
- provides returns that are competitive to alternative fixed interest investments such as term deposits; and
- is a secure investment, with protections through the annuity being issued through the Challenger Life Statutory Fund No.2 and Challenger Life being regulated by the Australian Prudential Regulation Authority (APRA).
- allows you to withdraw from the annuity as a reducing lump sum within the 22 year withdrawal period if your needs change (this period is based on your life expectancy at commencement and the withdrawal value may be less than the full amount invested even after taking into account regular payments you have already received); and
- pays an agreed withdrawal benefit to your nominated beneficiary(ies) or estate if you die within the withdrawal period. In your case 100% of the investment amount if death occurs in the first 11 years (known as your 100% death benefit period). Where death occurs after the end of the 100% death benefit period, the amount payable is equal to maximum withdrawal value which reduces to nil during the withdrawal period. Please refer to the attached quote for an illustration of the amount payable during the withdrawal period.

How the Annuity works

We have recommended that you invest \$145,000 into the Challenger Lifetime Annuity (Liquid Lifetime) with a withdrawal period of 22 years and a 100% death benefit period of 11 years.

Your regular payments (paid monthly) are determined at the commencement of the annuity and Challenger will make those payments for your lifetime. This provides you with monthly income for life and removes some of your longevity risk.

The regular payments will be indexed annually in line with changes in the Consumer Price Index (CPI) to offer some protection against inflation.

You have the flexibility to withdraw from the annuity at any time during the withdrawal period. The withdrawal value is calculated at the time of withdrawal and is based on a range of factors. If you withdraw during the withdrawal period you may receive less back than you invested, even after taking into account the regular payments you have already received, and your regular payments will stop. You cannot withdraw after the end of the withdrawal period.

If you die within the withdrawal period your regular payments will stop, a withdrawal value will be calculated and a lump sum will be paid to your nominated beneficiary(ies) or estate. No amount is paid to your nominated beneficiary(ies) or estate if you die after the end of the withdrawal period.

Centrelink Income Test

Under the income test, 60% of the regular payments you receive are assessable. Therefore, 40% of the regular payments you receive are not assessable.

The non-assessable and assessable portions are shown in the following table:

	Your details
Investment amount	\$145,000
First year regular payment ³	\$7,767
- Non-assessable portion	\$3,107
- Assessable portion	\$4,660

³ The annual annuity payment is based on a quote obtained from Challenger as at 12 November 2025, which is current for 14 days from that date. A new quote will be required if you invest after this date. A copy of the quote is attached as an appendix to this document.

Centrelink Assets Test

Under the assets test, 60% of your investment amount is assessed as an asset to age 85 (or for a minimum of five years) and 30% is assessed as an asset thereafter.

The assessable asset value over time is shown in the following table:

	Assessable asset value
From commencement to age 85	\$87,000
From age 85	\$43,500

This reduced assessable asset value may help to increase pension eligibility under the Assets Test. This compares favourably to a cash account, term deposit, account-based pension or other investment which may have the full account balance assessed under the assets test.

Payment promises of your investment

Challenger Life is regulated by the Australian Prudential Regulation Authority (APRA) and must hold a minimum amount of capital, set by APRA, to help ensure it can meet the payment promises made to investors. APRA is the authority that regulates the banking, insurance and superannuation industries.

Challenger Life is also required to hold enough capital to withstand a one in 200-year shock event. So even if an unfortunate event occurs, or there is a significant share market or property crash, your regular payments are still guaranteed to be paid for your lifetime.

Comparison to other investment options

We have compared the impact of the Challenger Lifetime Annuity (Liquid Lifetime) Flexible Income (Immediate payments option to an investment in a cash account or term deposit as well as an account-based pension.

The comparative advantages of the annuity are shown in the table below:

	Challenger Lifetime Annuity (Liquid Lifetime)	Account-based pension	Cash/term deposit
Payments	Determined at the commencement and linked with CPI which allows for income certainty	Variable depending on your investment selection and account balance which can lead to income volatility	May be variable over time
Length of income	Lifetime	Continues until balance runs out	The length of the term deposit or until the cash account balance runs out
Liquidity	Can be withdrawn during the withdrawal period. The withdrawal value is impacted by the cost of breaking the investment and movements in interest rates between the time of investment and withdrawal.	Can be withdrawn	Can be withdrawn
Amount payable on death	Death benefit is payable during the withdrawal period, please refer to the quote for a detailed breakdown.	Account balance	Account balance
Assessable income Centrelink	A portion is assessable	Deeming rules	Deeming rules
Centrelink asset assessment	A portion is assessable	Account balance	Account balance
Payment promise	Challenger Life is regulated by APRA and guarantees regular payments to be paid for your lifetime.	No guarantees, depends on underlying assets	May be guaranteed by the Government

Disadvantages of the Challenger Lifetime Annuity (Liquid Lifetime)

All investment strategies contain both advantages and disadvantages. The important potential risks that may arise from adopting the recommendation to invest in a Challenger Lifetime Annuity (Liquid Lifetime) include:

- Once commenced, you are unable to change the terms and conditions or regular payments.
- If you die during the withdrawal period a death benefit will be paid but this may be less than the amount you invested, even after taking into account the regular payments you have already received.
- If your circumstances change and you voluntarily withdraw from the annuity during the withdrawal period a withdrawal benefit will be paid, but this may be less than the amount you invested, even after taking into account the regular payments you have already received.
- The annuity cannot be withdrawn after the withdrawal period has ended, however, the regular payments will continue for your life.
- The annuity may immediately increase your Age Pension under the assets test, but in later years, any ongoing Age Pension benefits may be reduced.
- The regular payments are not indexed and over time the purchasing power may decline due to the effect of inflation.
- Legislation may change in the future which can impact on how this annuity is assessed for Centrelink/Veterans' Affairs and taxation purposes.

Fees and charges

Challenger Life does not charge any fees to you for the annuity.

Under the lifetime portfolio year 1 Age Pension entitlements changed by: \$4,563 year / \$176 fortnight							
Current Portfolio				Lifetime Portfolio including \$145,980 of Flexible income or Enhanced income annuities			
Total assessable assets: \$951,780				Total assessable assets: \$893,388			
Total assessable income: \$22,812				Total assessable income: \$23,593			
Applicable Pension test: Assets Test				Applicable Pension test: Assets Test			
Estimated fortnightly Age Pension: \$367				Estimated fortnightly Age Pension: \$543			
20% of the maximum Age Pension				30% of the maximum Age Pension			
Estimated Age Pension (today's dollars)	Year 1	Year 2	Year 3	Year 4	Year 5	5 year cumulative	10 year cumulative
Current portfolio	\$9,542	\$11,479	\$13,298	\$15,041	\$16,666	\$66,026	\$171,371
Lifetime portfolio	\$14,105	\$15,262	\$16,379	\$17,459	\$18,460	\$81,665	\$187,127
Lifetime portfolio difference	\$4,563	\$3,783	\$3,081	\$2,418	\$1,794	\$15,639	\$15,756
% Change	48%	33%	23%	16%	11%	24%	9%

Being eligible for the Age Pension also entitles you to a Pensioner Concession Card.

A Pensioner Concession Card entitles you to reduced cost medicines under the Pharmaceutical Benefits Scheme. You may also be entitled to various concessions from state and territory governments and local councils such as:

- reductions on property and water rates;
- reductions on energy bills;
- reduced or free fares on public transport, and
- reductions on motor vehicle registration.

9. Recommendation – Downsizer Contribution

A downsizer contribution allows eligible individuals aged 55 or older to contribute up to \$300,000 (or \$600,000 per couple) from the proceeds of selling their family home into superannuation, regardless of their total super balance or usual contribution caps.

Key Features

- Individuals must be at least 55 years old at the time of contribution.
- The property must have been owned by the individual or their spouse for at least 10 years and must be in Australia (not a caravan or houseboat), and exempt or partially exempt from capital gains tax as the main residence.
- The maximum contribution is \$300,000 per person, or \$600,000 per couple, but cannot exceed the total sale proceeds.
- Contributions must be made within 90 days of receiving sale proceeds (settlement date), but an extension may be granted by the ATO in some circumstances.
- The downsizer contribution is not counted towards the concessional or non-concessional contribution caps and does not require the work test.
- There is no requirement to purchase another property or to “downsize” to a smaller home—eligibility is based on the sale of a qualifying residence.
- This contribution can only be made once in a lifetime per person.

Recommendation:

- Albert, make a Downsizer superannuation contribution of **\$79,000**

10. Superannuation Structure

Accumulation Phase v Pension Phase:

Sue, your superannuation fund is currently in Accumulation Phase where all income is taxed at 15%.

Once you reach preservation age (currently age 60), current legislation allows you to convert your superannuation from Accumulation Phase to Pension Phase and to commence an income stream with your superannuation monies. The following must be considered when determining whether a move to Pension Phase is appropriate:

- In Pension Phase, you are obliged to draw out a minimum income stream from the fund balance each year (refer table below for minimum income stream requirements). All income received from this income stream is tax free.
- As you are over age 65, the taxation on earnings within the fund will reduce to 0%.
 - The minimum income stream that must be drawn from any Allocated Pension is:

Age	Under 65	65-74	75-79	80-84	85-89	90-94	95+
Percentage Factor	4%	5%	6%	7%	9%	11%	14%

Recommendation:

- Albert, subsequent to the recommended contribution detailed earlier in this Statement of Advice, we would recommend to have your superannuation monies in Pension Phase.
- Sue, we would recommend moving your superannuation monies from Accumulation Phase to Pension Phase.
- Each of you to draw down a tax-free income stream from your respective Allocated Pension accounts.

Benefits

- This will enable you to draw down a tax-free income stream, and all earnings on investments once moved to Pension Phase will be completely tax-free.

11. Superannuation Funds

Albert and Sue, you currently have the following superannuation funds:

Albert

Host Plus – Member Number 830334488

- The fund currently has a balance of approximately \$12,800.

Sue

Host Plus – Member Number 830287681

- The fund currently has a balance of approximately \$443,100.

Recommendation:

- Albert, set up a new Allocated Pension account to be funded by:
 - Rollover of the full balance of your existing Host Plus Allocated Pension
 - Downsizer contribution of \$79,000.
- Sue, set up a new Allocated Pension Account to be funded by:
 - Rollover of the full balance of your existing Host Plus Accumulation Fund

Your respective Allocated Pension will have the following approximate starting balances:

\$91,880 – Albert

\$443,100 – Sue

You effectively have two options in terms of how the Allocated Pensions are structured:

- Continue to hold these monies with Host Plus.
- Roll across these superannuation monies to a more actively managed wholesale 'master trust' Allocated Pension platform.

12. Investments within Superannuation

Host Plus – Member Number 830334488 (Albert)

Albert, you have an Allocated Pension fund with Host Plus invested as follows:

77% - Balanced

23% - Conservative Balanced

Your overall asset allocation is:

Asset Class	% of Portfolio
Australian Shares	17.12%
International Shares	23.56%
Property / Infrastructure	19.22%
Alternatives	10.89%
Fixed Interest	22.10%
Cash	7.11%
	100%

Current Australian Super Portfolio Profile Compared to a 'Balanced' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Balanced Portfolio	Deviation
Australian Shares	17.12%	27.00%	-9.88%
International Shares	23.56%	29.00%	-5.44%
Property/Infrastructure	19.22%	12.00%	+7.22%
Alternatives	10.89%	6.00%	+4.89%
Fixed Interest	22.10%	22.00%	+0.10%
Cash	7.11%	4.00%	+3.11%

Host Plus Historical Performance at 31/10/2025:

Albert	1 year	3 years (p.a.)	5 years (p.a.)
Host Plus – Allocated Pension	12.00%	10.01%	9.32%

Host Plus – Member Number 830287681 (Sue)

Sue, you have an Accumulation fund with Host Plus invested as follows:

77% - Balanced

23% - Conservative Balanced

Your overall asset allocation is:

Asset Class	% of Portfolio
Australian Shares	17.12%
International Shares	23.56%
Property / Infrastructure	19.22%
Alternatives	10.89%
Fixed Interest	22.10%
Cash	7.11%
	100%

Current Australian Super Portfolio Profile Compared to a 'Balanced' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Balanced Portfolio	Deviation
Australian Shares	17.12%	27.00%	-9.88%
International Shares	23.56%	29.00%	-5.44%
Property/Infrastructure	19.22%	12.00%	+7.22%
Alternatives	10.89%	6.00%	+4.89%
Fixed Interest	22.10%	22.00%	+0.10%
Cash	7.11%	4.00%	+3.11%

Host Plus Historical Performance at 31/10/2025:

Albert	1 year	3 years (p.a.)	5 years (p.a.)
Host Plus - Accumulation	11.54%	9.59%	9.38%

Option 1 – Retain Host Plus

Within Host Plus, you are invested across a mix of their Balanced and Conservative Balanced Options.

The overall asset allocation is detailed on the previous page.

Downside:

- The investment options available are limited
- Your portfolio may not be actively managed
- The historical long term average performance associated with your existing Host Plus Super funds are lower than alternative options.

Option 2 – Master Trust Platform (Colonial First State)

Your investment in the Colonial First State Allocated Pension would have a specifically modelled portfolio directly in line with your **Balanced** Investor Risk Profile. The specific underlying funds that make up your individual portfolio would be:

Colonial First State Wholesale Allocated Pension – **Balanced** portfolio

	% of portfolio
RQI Australian Value	11.00%
Acadian Core Australian Equity	11.00%
First Sentier Australian Small Companies	5.00%
CFS Index Global Share	13.00%
Acadian Global Equity	12.00%
Bell Global Emerging Companies	4.00%
First Sentier Property Securities	4.00%
Ironbark Property Securities	4.00%
ClearBridge RARE Infrastructure Value	4.00%
CFS ETF Exposure Series – Physical Gold	6.00%
CFS Index Australian Bond	6.00%
Yarra Enhanced Income	8.00%
Perpetual Diversified Income	8.00%
FirstRate Saver	4.00%
	100.00%

Performance of the proposed Colonial First State (CFS) Allocated Pension fund invested with a **Balanced** Asset Allocation at 31 October 2025

Colonial Wholesale Allocated Pension Fund: Proposed Balanced Portfolio				
	% of portfolio	1 year	3 years	5 years
RQI Australian Value	11.00%	18.75%	16.72%	17.56%
Acadian Core Australian Equity	11.00%	15.16%	15.88%	15.40%
First Sentier Australian Small Companies	5.00%	18.86%	12.09%	10.88%
CFS Index Global Share	13.00%	22.51%	20.49%	16.56%
Acadian Global Equity	12.00%	18.74%	20.04%	18.10%
Bell Global Emerging Companies	4.00%	2.23%	7.29%	7.38%
First Sentier Property Securities	4.00%	5.20%	15.65%	11.77%
Ironbark Property Securities	4.00%	5.13%	14.46%	10.92%
ClearBridge RARE Infrastructure Value	4.00%	15.58%	10.85%	11.95%
CFS ETF Exposure Series - Physical Gold	6.00%	40.39%	31.28%	17.59%
CFS Index Australian Bond	6.00%	6.20%	3.76%	-0.46%
Yarra Enhanced Income	8.00%	7.22%	8.25%	6.06%
Perpetual Diversified Income	8.00%	6.14%	6.91%	4.32%
FirstRate Saver	4.00%	4.40%	4.44%	2.78%
	100%	15.01%	14.68%	12.14%

Benefits:

- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

13. Recommended Products

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of \$5,000 (\$1,500 for super) is required to establish an account in FirstChoice Investments. A \$1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is \$100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

✓ **Sector Specific Diversification**

A wide range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

✓ **Simplicity**

Consolidated reporting from Colonial First State.

✓ **Ease of Management**

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

We recommend that annual automatic rebalancing is elected.

✓ **Highly competitive and simple to understand fee structure**

No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one-off fee for upfront costs.

You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.

A 0.80% p.a. Adviser Service Fee will apply to the new Allocated Pension fund.

No switching fees or exit fees apply to this investment.

14. Proposed Cash Flow

You have estimated that you require an income of \$5,000 per month (\$60,000 p.a.) to satisfy your living costs.

Upon implementation of the recommended structure, your annual cash flow will be generated as follows:

Age Pension	\$14,105
Challenger Lifetime Annuity	\$ 7,767*
Colonial Allocated Pension Income Stream – Albert	\$ 6,431^
Colonial Allocated Pension Income Stream – Sue	<u>\$31,017^</u>
TOTAL	\$59,320

* Payments will be indexed annually so that they keep pace with changes in the Consumer Price Index (CPI).

^ Income stream has been calculated based on 7% of initial capital balance and may be adjusted as required.

15. Adviser Fees

Upfront and Implementation Fees

You have agreed to a Plan Fee of \$3,500+GST p.a., which will be invoiced to you.

Ongoing Fees

The following information explains the ongoing fees that Wellth Pty Ltd may receive for the services we provide if you choose to implement the recommendations in this SOA.

The agreed ongoing fee covers the ongoing support and services we provide to help you manage and review your financial plan. For further context on the cost of financial advice, we encourage you to refer to independent sources such as [ASIC's Moneysmart website](http://ASIC.gov.au/moneysmart) or [Canstar](http://Canstar.com.au), or please feel free to contact your adviser to discuss your fees at any time.

		Total Payable to Wellth Pty Ltd	
Investment Details	Amount Invested	Ongoing (%)	Ongoing (\$)
Challenger Lifetime Annuity	\$145,000	Nil	Nil
Colonial FirstChoice Wholesale Allocated Pension - Albert	\$98,880	0.80% p.a.	\$791 p.a.
Colonial FirstChoice Wholesale Allocated Pension - Sue	\$443,100	0.80% p.a.	\$3,545 p.a.
Total	\$686,980		\$4,335 p.a.

16. Understanding Your Recommended Products

To make informed decisions, please read the PDS we will provide for each recommended product. These documents outline the product's key features, benefits, fees, and risks. If anything is unclear, or if you have questions about how a product may suit your circumstances, please contact us.

Cooling-Off Periods

After investing in a financial product, you may have a **cooling-off period** that allows you to change your mind if you decide the product does not meet your needs.

The period generally starts when the product is established, and its length varies depending on the product. Your PDS explains the specific cooling-off rights that apply.

If you wish to cancel an investment during this period, please notify us in writing so we can contact the product issuer within the required timeframes.

No Guarantee

Our recommendations are made with your **best interests** in mind and are based on your goals, financial situation, and needs. However, we **cannot guarantee** that the products recommended are the best available or that they will achieve specific returns.

Investment performance depends on market conditions and the risks outlined in each PDS. Please read these documents carefully and contact us with any questions.

Tax Considerations

Acting on this advice may have **tax implications** for you. While we consider general tax outcomes when developing your financial plan, we recommend you seek **specialist tax advice** to understand how these strategies may affect your personal situation, both now and in the future.

17. Are My Recommended Products Restricted

Non-Superannuation Products

Yes. When recommending non-superannuation products, we can only select from Wellth Pty Ltd's APL. This list is maintained by a dedicated Investment Committee, which includes directors, advisers, and specialist research where relevant. The committee carefully analyses each product before it is added to the APL, using independent research from leading industry providers.

The APL is regularly reviewed to ensure all products, fund managers, and investment providers continue to meet our quality, performance, and compliance standards.

Superannuation Products

Yes. When recommending superannuation products, we generally select from the same APL. However, if you already hold a superannuation fund that is **not** on the APL, we may still provide advice on that fund — provided we have conducted the necessary research and have a thorough understanding of its features, benefits, and costs.

Our Responsibility to You

We are responsible for ensuring that the advice provided is **clear, concise, and effective**, and that it is based on your personal and financial circumstances, goals, and objectives. All recommendations in this SOA are made with your **best interests** in mind and are appropriate based on the information you have provided.

Because this advice has been prepared specifically for you, Wellth Pty Ltd and your adviser are not responsible for any third party who acts on all or part of the recommendations in this SOA.

Do We Guarantee Investment Performance?

No. While the investments we recommend must be appropriate for your situation, neither Wellth Pty Ltd nor your adviser guarantees that they are the best available or that they will perform in a particular way.

Investment returns can vary due to market conditions and other factors beyond our control.

18. Adviser Remuneration and Conflicts of Interest

Your adviser receives a salary and is eligible for a discretionary performance-based bonus paid by Wellth Pty Ltd; he does not receive any other fees or commissions.

Wellth Pty Ltd and its advisers do not receive or pay referral fees or commissions.

We act in your best interests and manage conflicts in accordance with Wellth Pty Ltd's compliance and governance framework.

Any potential conflict that could influence our advice will be clearly disclosed to you in writing.

19. Privacy and Your Information

We are committed to protecting your privacy.

Your personal information is collected only for the purpose of providing financial advice and related services.

It may be shared with product providers, regulators, and service partners as required by law or to implement your instructions.

For more details, please refer to our Privacy Policy at www.wellth.financial.

20. Next Steps

To proceed with implementing the recommendations in this SOA:

- Read this document and any associated PDS' carefully.
- Contact us if you have any questions or if any information appears incorrect.
- Sign and date the Authority to Proceed once you're ready.
- Complete and return the required forms to us.
- Keep copies of all documents for your records.

Important Note

This SOA has been prepared based on the goals, objectives, and personal circumstances you shared with us. It outlines tailored strategies designed to help you move confidently toward your financial and lifestyle goals.

Because your circumstances and the economic environment can change over time, including inflation, investment returns, and legislation it's important to review your plan regularly to ensure it remains relevant and effective. We recommend meeting at least annually, or whenever a significant life or financial change occurs.

Regular portfolio reviews also help confirm that your investments are performing as expected and remain aligned with your objectives, timeframe, and risk tolerance.

All investments carry risk. The value of your investments may rise or fall, and returns cannot be guaranteed. You may receive less than your original investment amount. Please ensure you review the PDS' carefully before making any decisions.

End of Statement of Advice

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Appendix A – Challenger Guaranteed Annuity Quote & Calculations